

In the Name of Wealth Creation

It is a standard practice for most promoters to siphon money out of their companies. Their business would be flourishing, but very little of the money would show up in the company's books. Only a certain portion would be booked in the company's accounts, while the rest would be diverted to the promoter's personal accounts.

But, as the bull market began to gather steam, promoters realized that there was more money to be made by showing the full revenues in the company's books, and maybe even showing more revenues than there actually were. The higher the earnings and earnings growth potential, the more value the market was willing to assign to a stock.

And so began the great game of 'market capitalization' and 'wealth creation', as many promoters went in for an image makeover, helped by market operators, analysts, fund managers and last, but not least, a friendly media.

Market capitalization is the share price multiplied by the outstanding number of shares (equity base) of a company. A huge equity base does not necessarily lead to a large market capitalization, as a large number of shares floating around would make it hard for the stock price to move up. So the key to higher market capitalization is a fat stock price. The higher their market capitalization (or valuation of the company), the easier it became for companies to raise more funds by selling the least number of shares.

By now I had become very friendly with an analyst I had nicknamed Sherlock because he was forever suspicious of promoters and the numbers companies put out. We regularly met over drinks. During our discussions,